

Stocks Drop After Trump Unveils Higher Tariffs on Trading Partners

The S&P 500 retreats from its all-time high, and bond yields tick higher

By [Matt Wirz](#) and [Angus Berwick](#)

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President Trump's barrage of new tariffs drove stocks lower on Monday and moved trade tensions back to the forefront on Wall Street.

Trump took to his Truth Social platform Monday afternoon to announce the U.S. would impose 25% tariffs on goods from Japan and South Korea. He later revealed that other nations, including Laos and Malaysia, would face higher levies. With each post, the major stock indexes fell further. Oil prices and bond yields rose, reflecting concerns that heavier tariffs would lead to higher inflation.

Before extending their deadlines to Aug. 1, the U.S. was set to reimpose "reciprocal" tariffs on Wednesday for dozens of countries. And even after he singled out Japan and South Korea for higher levies, Trump said their tariff rates could move lower (or higher) depending on how those countries adjusted their trade practices with the U.S.

"The announcements seem to be changing every 30 minutes," said John Belton, portfolio manager for growth equities at Gabelli Funds. "This is more Trump-style negotiations, and the market has grown tired of it the longer it drags on."

The S&P 500 fell 0.8% to 6229.98, still close to the all-time high the index hit last week. The Nasdaq composite and the Dow Jones Industrial Average gave up 0.9%.

The September contract for Brent crude oil rose 1.9%, and the 10-year Treasury yield climbed 0.05 percentage point to 4.394%.

Shares of trade-sensitive companies such as Lululemon, Estée Lauder, First Solar and Deere declined.

Trump also threatened an additional levy on countries aligning themselves with the Brics group of emerging economies, which includes China and India.

“Any Country aligning themselves with the anti-American policies of Brics, will be charged an ADDITIONAL 10% Tariff. There will be no exceptions to this policy,” Trump said.

His post came as leaders of the Brics nations met in Rio de Janeiro. Over the weekend, the group released a statement voicing “serious concerns about the rise of unilateral tariff and non-tariff measures.”

Share prices remain high on a historical basis, and investors, particularly individual investors, are looking past Trump’s unpredictability to a time when trade deals are completed, said Sylvia Jablonski, chief investment officer at Defiance ETFs. “There is a pro-market sentiment for this president, and this idea of retail buying the dip remains consistent,” she said.

Talks between the U.S. and many key trade partners remain in flux. The European Union is aiming for an agreement in principle by Wednesday, when Trump had threatened to raise tariffs for EU imports to 50%.



The S&P 500 fell 0.8% as a cross-section of industries weakened. A trader on the New York Stock Exchange floor Monday. jeenah moon/Reuters

Trump's social-media activity also weighed on Tesla stock after the president ridiculed Elon Musk's new political party formed in opposition to ballooning fiscal deficits under the newly passed spending bill. Tesla shares declined 6.8%, their worst one-day drop since June 5 and are down 27% this year.

The dollar strengthened. The WSJ Dollar Index, which tracks the U.S. currency against 16 peers, was up 0.6% and was up three of the past four trading days.

Bitcoin traded around \$108,000, not far off record highs.

The Cboe Volatility Index, Wall Street's fear gauge, rose about 9%, but remained far off the Liberation Day highs hit in April.